Stewart, Under Secretary of State for India, who was Grigg's close confidante. Chandavarkar also cites the crucial evidence of the Central Intelligence Bureau, Calcutta, which he claims exposed fully, Smith's financial irregularities.

It is the purpose of this chapter to discuss this episode which was unparalleled 'in the annals of central banking in terms of its genesis, extent, intensity, and duration'[4] after a review of the past material on this subject, including some newly available confidential documents from the Governor's Secretariat which were transferred to the RBI Archives, Pune, in 2009[5] and remain largely unknown to the academic world and the public. The correspondence between Taylor and Grigg, and Taylor and Smith and others are part of this newly released collection which we shall call the Sir James Taylor Papers. While the account which follows uses this new material as well as some old material (Sir Purshotamdas Thakurdas Papers) which existed but was not employed for this purpose, it lays no claim to being the definitive history of the period. There is good reason to revisit this period since the Taylor Papers recently put in the public domain by the RBI were not available when the official history was being written, nor were they available to Mathur or Chandavarkar when they made their penetrative studies.

Central to the whole controversy was the fight by Smith for independence from the government and the suspicion of the ICS that the Australian banker was not really a part of the British India ethos, and worse still, sympathized with Indian nationalist interests. Equally germane is the fact that Smith's financial dealings were questioned by his adversaries. Allegations of a scandalous liaison with an RBI officer's wife were also cited by his detractors as conduct unbecoming of an RBI Governor. Above all, what emerges from a perusal of the correspondence is the uninhibited and acrimonious exchange on paper which can only be described as quite extraordinary, and something which has never been repeated in the RBI's long history.

While there is little doubt that Smith was a technically competent commercial banker, it is also indisputable that the government wanted to have as the first Governor someone outside the government to demonstrate the principle of independence of the bank. Smith's appointment had established the RBI as an institution independent of government and the